alternative, then the costs of walking away decrease.[115] For example, when the GATT Uruguay round stalled, the United States created an outside option in the face of these multilateral negotiations by instead emphasizing the North American Free Trade Agreement (NAFTA) and Asia-Pacific Economic Cooperation (APEC).[116] The round came to a successful conclusion, but subsequently the United States again negotiated a possible exit option from the WTO in the form of the proposed TPP. Similarly, as the global financial hegemon, the United States can rely on its structural power to employ or taper quantitative easing , irrespective of the potential negative impact on emerging economies.

As examined in detail in Chapter 2, gaps among the BRICS economies measured in GDP and purchasing power parity (PPP) have widened. China's capabilities have grown, not only in the area of trade but also in the worlds of international money and finance, from its equity markets to Chinese firms in the *Fortune Global 500*. Therefore, China's disproportionate power distribution within the BRICS has some similarities to the U.S. share of G7 economic power, which has been a relatively fixed structural feature of global governance since World War II. Thus, both groups are presently populated by midsized actors (except South Africa) and a single preponderant power. In line with the logic of an asymmetrical club discussed previously, bargaining dynamics within the BRICS and between this club and the incumbent powers also demonstrate the relevance of the hegemons' outside option in the following two ways.

First, China is in the dominant bargaining position among the BRICS, so China can get its way, exercise its outside option, or both. In the years prior to the BRICs founding, even though China's economy and capabilities were already rising fast, it was not yet recognized internationally as a *de facto* coequal to the United States. Moreover, at that point, China's leaders themselves also did not seek to play the role of a great power. The move toward more visible leadership began in 2012, as the Chinese government started to engage in a "new type of great power relations" with the United States.[117] As explored in Chapter 4, China's earlier strategy was characterized by "peaceful rise" and focused on its own economic development. Although these elements have not been jettisoned, the difference here is that the Chinese government was focused primarily on protecting itself from the negative use of power by others, while eschewing